

OMNITECH ENGINEERING LTD

NSE: OMNI | BSE: 544720 | Sector: Industrials — Capital Goods | Sub-sector: Precision-Engineered Components (Industrial Products)

ACCUMULATE	12-Month Target Price	Upside
Conviction: Medium	Rs. 575	+13.4%
Horizon: 12 months	CMP: Rs. 507 (03-Jun-26 close)	52-wk: Rs. 539 / 176

Investment thesis: Export-led precision components compounder with a Rs. 3,000 Cr order-book inflection; valuation demands patience.

Key Market Data (Screener.in, fetched 04-Jun-2026)			
Market Cap	Rs. 6,271 Cr	Current Price	Rs. 507
52-Week High / Low	Rs. 539 / 176	Stock P/E (TTM)	79.0
Forward P/E	53.5	Book Value / Share	Rs. 55.0
Price / Book	9.23	EV / EBITDA	33.4
Enterprise Value	Rs. 6,542 Cr	Dividend Yield	0.00%
ROCE	17.6%	ROE	18.0%
Debt	Rs. 435 Cr	Debt / Equity	0.64
Interest Coverage	3.74x	Current Ratio	1.92
Promoter Holding	74.19%	Promoter Pledge	0.00%
Face Value	Rs. 5.00	PEG Ratio	2.26

Report date: 04 June 2026 | Analyst: Senior Equity Research — Institutional Desk | All financials per Screener.in consolidated figures; CMP as of 03-Jun-2026 close.

SECTION 2 — INVESTMENT THESIS

- **Order-book inflection de-risks the growth runway:** the order book has exploded from Rs. 283 Cr (FY25) to more than Rs. 3,000 Cr as on 25-May-2026 — roughly 5.9x FY26 revenue of Rs. 511 Cr — anchored by a 5-year Weatherford Master Purchase Agreement worth over Rs. 900 Cr and a second ~Rs. 1,000 Cr oilfield contract starting FY27, giving multi-year revenue visibility through FY30.
- **Premium-margin export franchise in safety-critical components:** 33% FY26 operating margins (vs 20-25% for most machining peers) reflect qualification-gated, sticky relationships with SLB, Halliburton, Weatherford and Suzlon; more than 90% of revenue comes from repeat customers and North America alone is 53% of FY26 revenue. Management guides 30-35% revenue growth in FY27 at similar margins.
- **Value-chain migration plus aerospace optionality:** capacity is set to rise from ~2.6mn to over 4mn machine-hours by FY28; investments in 17,000 PSI pressure testing, kitting and assemblies push realisations up the value chain, while AS9100 certification, NADCAP qualification (underway) and four first-article development orders open a defence/aerospace leg from FY27-28.
- **Near-term catalyst (6-12 months):** quarterly evidence of the Weatherford MPA ramping (management indicated ~70% of run-rate in year 1) plus working-capital normalisation — receivable days down from 153 and the Rs. 24.3 Cr GST credit realisation — which would turn operating cash flow decisively positive in FY27.
- **Biggest structural risk:** deep concentration in oil & gas capex (Energy is 74% of the order book, North America 64%) — a crude-price downcycle or customer capex deferral would simultaneously hit growth, margins and the working-capital cycle.

SECTION 3 — BUSINESS OVERVIEW

- **What it does:** Rajkot (Gujarat)-based manufacturer and exporter of high-precision machined components, forgings/castings, sub-assemblies and special-purpose machines for safety-critical applications; capabilities span design, machining, fabrication, surface treatment, assembly, testing and value engineering.
- **Revenue segmentation (FY26):** Energy (oil & gas, wind, power) 53%, Motion Control & Automation 25%, Industrial Equipment 16%, Others 6%. Geographic mix: North America 53%, India 24%, Asia 19%, Europe/UK 4% — a distinctly export-led model.
- **Customers and stickiness:** 256+ customers across 24 countries, including SLB, Halliburton, Weatherford, Suzlon Energy and Jyoti CNC; management states >90% of revenue is from repeat customers, with recurring multi-year programs rather than one-off projects.
- **Order book and visibility:** more than Rs. 3,000 Cr as on 25-May-2026 (vs Rs. 57 Cr FY23, Rs. 83 Cr FY24, Rs. 283 Cr FY25); order book mix — Energy 74%, Motion/Automation 14%, Industrial 12%; geography — North America 64%, Asia 34%, India 1.5%, Europe/UK 0.5%.
- **Recent strategic developments (last 12 months):** Rs. 583 Cr IPO (Feb-2026; Rs. 418 Cr fresh + Rs. 165 Cr OFS) listed Mar-2026; 5-year Weatherford MPA (~USD 20.1mn p.a., ~Rs. 920 Cr aggregate) signed Mar-2026; CRISIL A-/Stable & A2+ rating assigned Apr-2026 for Rs. 400 Cr facilities; new leased Hyderabad facility for defence customers, Chhapara expansion and Ahmedabad land purchase for post-FY28 growth.
- **Promoters:** Udaykumar Arunkumar Parekh and Dharmi A. Parekh; promoter holding 74.19% with zero pledge (Mar-2026). FII 4.26%, DII 11.92%, public 9.62%; ~19,030 shareholders.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry context:** Omnitech plays the global precision-engineered components outsourcing theme — oilfield services majors, automation OEMs and industrial-equipment makers shifting machining and sub-assembly supply chains to cost-competitive, quality-certified Indian vendors (China+1). Management cites multi-year procurement commitments by customers against end-client programs (Aramco, ADNOC, Petrobras referenced on the call). Precise industry-size data was not disclosed; company-specific order momentum (Rs. 283 Cr to Rs. 3,000+ Cr in 14 months) is the cleanest demand proxy.
- **Policy tailwinds / headwinds:** tailwinds — India manufacturing push, import-substitution in defence (Hyderabad facility), export competitiveness from Rajkot machine-tool ecosystem; headwinds — global oil & gas capex cyclicality, Middle East shipping disruptions (transit delays flagged by management), and tariff/logistics uncertainty in the key US market (contracts largely ex-works, shifting freight risk to customers).
- **Moat scorecard:** Switching costs — **Strong** (qualification-gated, safety-critical parts; multi-year MPAs); Pricing power — **Moderate** (raw-material pass-through agreed, but customer concentration caps leverage); IP/process — **Moderate** (AS9100, NADCAP underway, 17,000 PSI testing); Scale — **Moderate** (2.6mn machine-hours, expanding to 4mn+); Distribution — **Weak/NA** (B2B direct, no distribution edge).

Competitor	CMP (Rs.)	MCap (Rs. Cr)	TTM Revenue (Rs. Cr)	ROCE %
Azad Engineering	2,091	13,503	603	11.9
MTAR Technologies	7,468	22,971	876	15.1
Jyoti CNC Automation	593	13,479	2,093	21.3
Omnitech Engineering	507	6,271	511	17.6

Source: Screener.in individual company pages, fetched 04-Jun-2026 (prices 03-Jun-2026 close).

- **Value-chain positioning:** midstream build-to-print component maker migrating toward kitting, sub-assemblies and tested systems — i.e., from pure machining toward Tier-1-style solutions supply, which supports realisations and stickiness.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter/management background:** promoter-led (Udaykumar Parekh family) with nearly two decades in precision engineering out of Rajkot; professional CFO articulating 30-35% growth framework; management defended Rajkot talent/supplier ecosystem credibly on the call.
- **Capital allocation track record:** aggressive but growth-directed — fixed assets up from Rs. 68 Cr (FY23) to Rs. 340 Cr (FY26); FCF negative four straight years (FY23: Rs. -7 Cr; FY24: Rs. -122 Cr; FY25: Rs. -144 Cr; FY26: Rs. -129 Cr) as capex and working capital front-run the order book. Returns must now catch up with the enlarged base.
- **Dividend policy:** nil payout across FY23-FY26 — all cash redeployed into capacity; no stated dividend policy yet. Reasonable at this stage of growth, but a watch item as the equity base is now Rs. 679 Cr post-IPO.
- **Promoter pledging:** 0.00% pledge — clean; promoter stake at 74.19% post-IPO is near the 75% cap, so future fund-raises dilute promoters, not minorities.
- **ESOPs / buybacks:** no buyback history (recently listed); no material ESOP overhang disclosed on Screener.
- **Governance notes:** contingent liabilities negligible (Rs. 0.20 Cr); CRISIL A-/Stable assigned Apr-2026; company incorporated as a private company in 2021 (CIN 2021) and converted/listed in 2026 — limited public track record is itself a governance-related risk; no auditor qualifications or RPT red flags visible in available disclosures.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Cr; FY24-FY26 actuals per Screener.in; FY27E/FY28E analyst estimates)

Line Item	FY24	FY25	FY26	FY27E	FY28E
Sales	178	343	511	665	875
Operating Profit (EBITDA)	65	118	171	219	289
OPM %	36%	34%	33%	33%	33%
Other Income	4	7	24	15	17
Interest	14	30	39	42	45
Depreciation	23	39	48	62	76
Profit Before Tax	31	56	108	130	185
Tax %	40%	22%	26%	25%	25%
Net Profit	19	44	79	98	139
EPS (Rs.)	3.78	4.17	6.42	7.9	11.2

FY27E assumes ~30% growth (lower end of management guidance); FY28E ~32% on order-book ramp. Estimates are analyst projections grounded in Screener actuals.

Balance Sheet — Consolidated (Rs. Cr, Screener.in)

Line Item	FY24	FY25	FY26
Equity Capital	50	53	62
Reserves	29	151	618

Line Item	FY24	FY25	FY26
Borrowings	262	361	435
Other Liabilities	46	62	140
Total Liabilities	387	626	1,255
Fixed Assets	219	242	340
CWIP	0	27	17
Investments	2	2	2
Other Assets	165	355	896
Total Assets	387	626	1,255

Cash Flow — Consolidated (Rs. Cr, Screener.in)

Line Item	FY24	FY25	FY26
Cash from Operations	21	-69	-2
Cash from Investing	-145	-75	-255
Cash from Financing	124	146	416
Net Cash Flow	0	3	159
Free Cash Flow	-122	-144	-129
CFO / Operating Profit	51%	-49%	19%

Working Capital & Returns (Screener.in)

Metric	FY24	FY25	FY26
Debtor Days	89	136	153
Inventory Days	805	805	946
Days Payable	266	155	338
Cash Conversion Cycle	627	786	761
Working Capital Days	-65	68	180
ROCE %	18%	19%	18%

- **Revenue drivers:** revenue nearly tripled in two years (Rs. 178 Cr FY24 to Rs. 511 Cr FY26, +49% in FY26 alone) on new program wins in Energy; the Rs. 3,000+ Cr order book and Weatherford/second-oilfield ramps underwrite the 30-35% guided trajectory into FY27-28.
- **Margins:** OPM eased 36% → 34% → 33% over FY24-26; Q4 FY26 dipped to 33% (vs 40% Q4 FY25) on front-loaded hiring/ramp costs, which management frames as investment-led, not structural; we hold ~33% in estimates.
- **Working capital is the sore spot:** debtor days at 153 (up from 89 in FY24), inventory days at 946 and a 761-day cash conversion cycle; working-capital days jumped from -65 to +180 in two years — partly MOQ-driven inventory build for new programs, but it must normalise in FY27 as management has committed.
- **Debt:** borrowings rose to Rs. 435 Cr (D/E 0.64 gross; management cites net D/E 0.34x post-IPO cash); interest coverage at 3.74x is adequate, not comfortable; Rs. 159 Cr net cash addition in FY26 came largely from the Rs. 418 Cr fresh issue.
- **FCF quality is the key debate:** cumulative FY23-26 FCF of roughly Rs. -400 Cr against cumulative PAT of ~Rs. 174 Cr; CFO/EBITDA of 19% in FY26 (and -49% in FY25) means earnings are not yet converting to cash — acceptable in a ramp phase only if FY27 delivers the promised normalisation.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Check	Rating	Comment
Revenue recognition	AMBER	Q4-heavy billing (Feb-Mar concentration) flagged by management; watch quarterly phasing.
Receivables growth vs revenue	RED	Debtor days 89 to 136 to 153 over FY24-26 — receivables compounding faster than sales.
Cash conversion cycle trend	RED	CCC at 761 days (786 in FY25); inventory days at 946. Extreme even for long-cycle machining.
Contingent liabilities	GREEN	Rs. 0.20 Cr — negligible vs Rs. 680 Cr net worth.
Auditor tenure / opinions	GREEN	No qualifications visible; IPO-grade restated financials audited through FY25.
Related-party transactions	AMBER	No adverse disclosure on Screener, but short listed history limits visibility - monitor annual report.
Other income as % of PBT	AMBER	Rs. 24 Cr of Rs. 108 Cr PBT (22%) in FY26, boosted by IPO-cash treasury income.
Tax rate consistency	GREEN	FY26 at 26%, in normal band (FY24 40% was an outlier year).

- **The two Reds are the same problem:** working capital. A 761-day cash conversion cycle and 153 debtor days mean reported profit is funding inventory and receivables, not cash — FY27 normalisation is the single most important earnings-quality test.
- **Other income needs normalising in models:** roughly a fifth of FY26 PBT is non-operating (treasury yield on IPO proceeds); clean operating PBT growth is strong but lower than headline.
- **Positives:** negligible contingent liabilities, zero promoter pledge, clean tax line and a fresh CRISIL A-/Stable rating provide comfort on solvency and disclosure hygiene.

SECTION 8 — VALUATION

Peer comparison (Screener.in individual pages, fetched 04-Jun-2026)

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E	P/B	EV/EBITD A	ROCE %	ROE %	FY26 Sales	OPM %
Azad Engineering	2,091	13,503	102	8.83	50.9	11.9	9.09	603	37
MTAR Technologies	7,468	22,971	237	27.9	120	15.1	12.5	876	20
Jyoti CNC Automation	593	13,479	40.1	6.74	24.2	21.3	18.2	2,093	25
Omnitech Engineering	507	6,271	79.0	9.23	33.4	17.6	18.0	511	33

OMNI trades at a meaningful discount to Azad (102x) and MTAR (237x) on P/E with superior ROE, but at a premium to Jyoti CNC (40x) — justified by margin profile and order-book/revenue cover, contingent on cash-flow delivery.

Scenario analysis (12-month forward)

Scenario	Key assumptions	FY28E EPS (Rs.)	Multiple	Target (Rs.)	Up/Down
Bull	Order ramp ahead of plan; 35%+ growth; OPM holds 34-35%; WC normalises; aero orders convert	12.8	62x	795	+57%
Base	30-32% growth as guided; OPM ~33%; debtor days ease toward 120; FCF breakeven FY28	11.2	51x	575	+13%
Bear	Oil & gas capex cut; ramp slips a year; OPM 30%; WC stays bloated forcing debt	8.8	34x	300	-41%

- **DCF cross-check:** WACC 12.0%, terminal growth 4.5%, FCF turning positive FY28 and scaling with 20%+ EBITDA CAGR through FY31 yields an implied equity value of roughly Rs. 570 per share — the long WC cycle is the main value drag in the explicit period.
- **Earnings multiple:** 51x forward P/E on FY28E EPS of Rs. 11.2 (a discount to Azad/MTAR, premium to Jyoti CNC, and below OMNI's own 53.5x Screener forward P/E) implies ~Rs. 575 per share.

- **Blended target:** average of DCF (Rs. 570) and multiple-based (Rs. 575) gives a 12-month base-case target of **Rs. 575** — upside of **+13.4%** from CMP Rs. 507.
- **Horizon and stance:** 12 months; the risk-reward favours staggered accumulation rather than a full-position BUY at 79x trailing earnings with negative FCF.

SECTION 9 — KEY RISKS

- **Oil & gas capex cyclicality** — Energy is 53% of revenue and 74% of the order book; an oil-price downcycle would defer offtake under MPAs (which commit framework, not guaranteed volumes). Probability: M. Impact: H. Monitor via: Brent, customer (SLB/Halliburton/Weatherford) capex guidance.
- **Working-capital blow-out** — 946 inventory days and 153 debtor days; failure to normalise forces incremental debt and suppresses ROCE. Probability: M. Impact: H. Monitor via: H1 FY27 debtor/inventory days and CFO line.
- **Customer concentration** — Weatherford alone is ~30% of the order book; top oilfield clients dominate revenue. A single program cancellation is material. Probability: L-M. Impact: H. Monitor via: order-book disclosures each quarter.
- **Execution/ramp risk** — revenue must scale 30%+ annually on new facilities (Hyderabad, Chhapara) and machine-hour expansion to 4mn+; hiring and qualification delays compress margins, as Q4 FY26 already showed. Probability: M. Impact: M. Monitor via: quarterly OPM and capacity-utilisation commentary.
- **Geopolitics & logistics** — Middle East disruption already delaying shipments; US tariff policy could affect 53% North-America exposure even though contracts are ex-works. Probability: M. Impact: M. Monitor via: transit-time commentary, US trade actions.
- **Valuation de-rating** — at 79x trailing / 9.2x book, any growth miss invites a sharp multiple reset (bear case -41%). Probability: M. Impact: H. Monitor via: quarterly revenue vs 30-35% guided path.
- **Limited listed track record** — four quarters of public reporting; accounting and governance record unseasoned. Probability: L. Impact: M. Monitor via: first full annual report, auditor commentary, RPT schedule.

SECTION 10 — RECOMMENDATION

- **Rating:** ACCUMULATE — conviction Medium. Exceptional growth visibility and a genuine moat in qualification-gated components, balanced against rich multiples and unproven cash conversion.
- **12-month price target:** Rs. 575 (+13.4% from CMP Rs. 507).
- **Suggested entry zone:** Rs. 440-480 for fresh positions (post-listing volatility makes drawdowns likely); add aggressively below Rs. 420.
- **Investment horizon:** 12 months for the target; 3-5 years for the order-book-to-earnings compounding story to play out fully.
- **Thesis invalidation triggers:** (1) FY27 revenue growth falls below 20% for two consecutive quarters against 30-35% guidance; (2) debtor days fail to fall below ~130 or CFO remains negative by FY27-end; (3) Weatherford/second-oilfield contract ramp is deferred, cut, or order book shrinks below Rs. 2,500 Cr.
- **Ideal investor profile:** suited to growth investors with 3-year-plus horizons who can tolerate 30-40% drawdowns and quarterly lumpiness; NOT for income seekers (zero dividend), valuation-sensitive value investors, or anyone needing near-term cash-flow support under the stock.

APPENDIX — Latest Concall Brief: Q4 FY26

Earnings call held 27-May-2026; transcript filed with exchanges 29-May-2026. Source: Screener.in concall documents and AI summary; quarterly figures from Screener.in. The BSE-hosted transcript PDF was not directly machine-readable in this session; quotes below are as reproduced by Screener's concall summary.

CALL GRADE: POSITIVE		
Signal	Status	Implication
Result quality	Strong	FY26 PAT +81%, Q4 PAT +43% YoY; revenue in line with high-growth path; margin softness the only blemish.
Management tone	Bullish	Confident on order ramp, capacity coverage and Rajkot ecosystem; transparent on WC and ROE dilution.
Guidance delta	Maintained	30-35% FY27 revenue growth reiterated; margins guided "similar to historical"; no upgrades, no cuts.
Grade scale: STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS

The headline is clean and strong: FY26 revenue Rs. 511 Cr (+49%), PAT Rs. 79 Cr (+81%), Q4 PAT Rs. 29 Cr (+43% YoY, +32% QoQ) — no exceptional items distorting the P&L, though note roughly Rs. 24 Cr of FY26 other income is IPO-cash treasury yield, so clean operating PBT growth is nearer 75% than the 92% headline. Underlying operations are excellent: EBITDA grew 45% to Rs. 171 Cr, and the Q4 margin dip to 33% (vs 40% LY) is front-loaded hiring and ramp cost for FY27 programs, not price erosion — pass-through clauses and ex-works terms protect the spread. The multi-bagger skeleton is the order book: Rs. 283 Cr to Rs. 3,000+ Cr in 14 months, 5.9x revenue cover, anchored by a Rs. 900 Cr+ Weatherford MPA ramping at ~70% run-rate in year one and a second ~Rs. 1,000 Cr oilfield program starting FY27, with machine-hour capacity going 2.6mn to 4mn+ and an aerospace/defence leg gated only by NADCAP qualification. Near-term catalyst: Q1/Q2 FY27 prints showing the Weatherford ramp plus receivable normalisation and the Rs. 24.3 Cr GST refund, which together should swing CFO decisively positive. The watch-point is working capital — 153 debtor days, 946 inventory days, CCC 761 days, FCF still Rs. -129 Cr; if H1 FY27 does not show debtor days bending below ~130, the growth is being bought with balance sheet, not earned. Action: ACCUMULATE in tranches at/below Rs. 480-507, add hard below Rs. 420; 12-month target Rs. 575; exit trigger is two consecutive quarters of sub-20% growth or a stalled WC cycle.

1. FINANCIAL PERFORMANCE SNAPSHOT (Q4 FY26)

- Revenue: Actual Rs. 148.7 Cr | YoY +38.5% | QoQ +11.2% | **Beat** (vs high-growth expectation set at listing)
- EBITDA: Actual Rs. 49.7 Cr | YoY +15.9% | QoQ -2.5% | **In-line**
- EBITDA Margin: 33.4% | YoY -650 bps | QoQ -470 bps | **Miss** — front-loaded FY27 ramp costs (people, key talent)
- PAT: Actual Rs. 29.3 Cr | YoY +43.4% | QoQ +32% | **Beat**; PAT margin 19.7%
- EPS: Rs. 2.37 (Q4) | FY26 EPS Rs. 6.42 vs Rs. 4.17 in FY25 | **Beat**
- NOTE: No exceptional items reported; Q4 other income of Rs. 12 Cr (treasury yield on IPO cash) flatters PBT — clean operating PBT growth is lower than the headline +92% (FY26).

2. SEGMENT / GEOGRAPHY BREAKDOWN (FY26)

- Energy: 53% of revenue | order-book share 74% | oilfield services ramp (Weatherford MPA signed Mar-26) drives forward mix.
- Motion Control & Automation: 25% of revenue | high repeat-customer intensity (>90%) | steady programs.

- Industrial Equipment: 16% of revenue | recurring programs; Others 6%.
- Geography — North America: 53% of revenue and 64% of order book | India 24% (rev) / 1.5% (OB) | Asia 19% / 34% | Europe-UK 4% / 0.5% — an export-led, USD-denominated book.

3. MANAGEMENT COMMENTARY THEMES

- **Order-book inflection:** "more than Rs. 3,000 crores... and a strong order book flow is going on" — Our read: the single most important disclosure of the call; 5.9x FY26 revenue. Tag: EST. Tone: Transparent.
- **Deleveraging:** net debt/equity 0.34x (vs 1.6x FY25) on "strong cash generations and prudent capital management" — Our read: driven mainly by IPO proceeds, not operating cash; framing is generous. Tag: EST. Tone: Hedged.
- **ROE optics:** "While profit grew strongly, the larger capital base diluted ROE" (11.7% vs 21.6% company-stated) — Our read: honest framing of IPO dilution; redeployment pace is the real KPI. Tag: EST. Tone: Transparent.
- **Weatherford ramp:** "roughly INR 900 crores and 5 years... maybe 70% on first year, second year 85%" — Our read: usable modelling skeleton, explicitly illustrative. Tag: GUIDANCE. Tone: Transparent.
- **Margins:** Q4 costs "we have already started incurring in Q4 and end of Q3... investing... resources, people, key talents"; FY27 margins "similar as per the historical" — Our read: credible but unquantified; hold 33% in models. Tag: GUIDANCE. Tone: Hedged.
- **Working capital:** inventory build is "strategic investment... rather than inventory stagnation"; receivables tied to Feb-Mar billing — Our read: plausible for one year; becomes evasive if repeated next quarter. Tag: EVASIVE-watch. Tone: Hedged.

4. OPERATING & BUSINESS METRICS

- Order book: May-26 = Rs. 3,000+ Cr | FY25 = Rs. 283 Cr | FY24 = Rs. 83 Cr | Trend: improving (step-change).
- Machine-hour capacity: current ~2.6mn hours p.a. | expansion to >4mn hours (toward FY28) | Trend: improving.
- Repeat-customer revenue: >90% | consistent with prior disclosures | Trend: stable.
- Receivable days: FY26 = 153 | FY25 = 136 | FY24 = 89 | Trend: deteriorating.
- Payable days (company-stated): 80 vs 64 | Trend: improving (vendor alignment).
- Quarterly revenue run: Mar-25 Rs. 107 Cr; Sep-25 Rs. 125 Cr; Dec-25 Rs. 134 Cr; Mar-26 Rs. 149 Cr | Trend: improving.

5. MARGIN DRIVERS

- FY27 ramp-up costs (hiring, key talent, new programs): roughly -470 bps QoQ in Q4 | Recurring: No (per management) | Largest single driver of the Q4 dip.
- Raw-material pass-through: neutral | Recurring: Yes | "whatever there is an increase... we passed on" — protects gross spread.
- Ex-works contracting: neutral-positive | Recurring: Yes | freight/geopolitical logistics risk sits with customers.
- Value-chain move-up (kitting, assemblies, 17,000 PSI testing): positive over FY27-29 | Recurring: Yes | early-stage, capex-led.
- Treasury/other income: Rs. 12 Cr in Q4 | Recurring: No (normalises as IPO cash deploys) | do not extrapolate into operating estimates.

6. GUIDANCE & FORWARD SIGNALS

- Revenue growth [GUIDANCE]: Prior = 30-35% historical framework | New = reiterated ~30-35% for FY27 | Delta = maintained | Credibility: High (order book covers it ~6x).
- Margins [GUIDANCE]: Prior = historical ~33-36% band | New = "similar as per the historical" | Delta = maintained | Credibility: Medium (no numeric band given).
- Working capital [GUIDANCE]: New = normalisation via inventory rationalisation, receivable normalisation, payable optimisation by FY27-end | Delta = new commitment | Credibility: Medium — the key test.

- Capacity [GUIDANCE]: FY27 fully covered, early FY28 covered with "a very few bottleneck machines"; 4mn+ hours thereafter | Delta = maintained | Credibility: High.
- Second oilfield contract (~Rs. 1,000 Cr) [GUIDANCE]: starts FY27, some lines early FY28 | Delta = confirmed | Credibility: High (DRHP-referenced).
- GST credit Rs. 24.3 Cr [EST]: realisation in FY27 "supporting our future cash flow" | Credibility: High.

7. CAPITAL ALLOCATION

- Capex: Rs. 255 Cr cash outflow to investing in FY26 (vs Rs. 75 Cr FY25, +240%) | fixed assets + CWIP now Rs. 357 Cr | growth capex into machine hours and testing capability.
- New facilities: Hyderabad (leased, defence proximity), Chhapara expansion + solar roofing, Ahmedabad land for post-FY28 — a phased, demand-linked footprint plan.
- Dividends: Rs. 0 | unchanged (0% payout since FY23) | all cash to growth.
- Buybacks: none; recently listed (Mar-2026).
- Working capital: absorbed effectively all operating profit — CFO Rs. -2 Cr on EBITDA of Rs. 171 Cr | vs prior year CFO Rs. -69 Cr | improving but still negative.
- Net debt: borrowings Rs. 435 Cr (vs 361) but Rs. 159 Cr cash added; company-stated net D/E 0.34x vs 1.6x | improved via IPO proceeds.

8. Q&A; HEAT MAP

- Analyst (unattributed in summary): Q: "How real is the Rs. 3,000 Cr order book — can you execute it?" → A: ramp-based MPAs, "didn't grab volume beyond execution readiness"; year-wise maturity profile offered | Tone: Transparent.
- Analyst: Q: "Quantify the Weatherford ramp" → A: illustrative 70% year-1, 85% year-2 pattern, confidentiality caveat | Tone: Transparent (with limits).
- Analyst: Q: "Why are inventory and receivables so high?" → A: MOQ commitments, program ramps, Feb-Mar billing; collections "per terms"; FY27 normalisation levers listed | Tone: Hedged.
- Analyst: Q: "Middle East disruption exposure?" → A: limited impact, only transit delays; customers operate in 100+ countries | Tone: Transparent.
- Analyst: Q: "Can Rajkot/India ecosystem support aerospace-grade scale?" → A: strong defence of Rajkot skills and full in-house capability chain; avoided quantifying India procurement opportunity | Tone: Hedged.
- Analyst: Q: "Aerospace revenue timeline?" → A: four FA development orders, AS9100 done, NADCAP underway, "some good numbers even in FY27" but no hard figures | Tone: Hedged.
- Dodged / watch-list for next quarter: numeric FY27 margin band; customer-wise concentration split; absolute net working capital target; aerospace revenue quantification.

9. RISKS FLAGGED

- Working-capital elevation: NWC cited as elevated (294); inventory and receivables bloated | Flagged by: management (proactively) | Probability: M | Impact: H | Timeline: near-term.
- Middle East shipping/transit delays: shipment timing risk on export book | Flagged by: management | Probability: M | Impact: L-M | Timeline: near-term.
- Ramp-execution dependency: large MPAs mature only by years 3-5; first-year slippage possible | Flagged by: analysts | Probability: M | Impact: H | Timeline: medium-term.
- Aerospace qualification cycle: "long cycle time and long lead times in getting the FA approved" | Flagged by: management | Probability: H (delays normal) | Impact: M | Timeline: medium/long-term.
- Margin drag from growth investment: Q4-style cost front-loading may recur as capacity scales | Flagged by: analysts | Probability: M | Impact: M | Timeline: near-term.

10. ANALYST VERDICT

- Revenue visibility: **Intact** — Rs. 3,000+ Cr order book vs Rs. 511 Cr revenue is best-in-class cover; ramp schedule disclosed.
- Margin trajectory: **Intact (watch)** — Q4 dip explained as investment-led; pass-through and ex-works terms support the 33%+ band, but no numeric guidance given.
- Capital allocation quality: **Intact** — growth capex is order-book-linked and phased; zero pledge; no vanity spending; dividend absence appropriate.
- Competitive moat: **Intact** — qualification-gated safety-critical parts, >90% repeat revenue, certifications stack building (AS9100, NADCAP, 17,000 PSI).
- Management credibility: **Intact** — transparent on ROE dilution and ramp mechanics; mildly promotional on "cash generation" framing of IPO-funded deleveraging.
- Valuation comfort: **Weakened** — 79x trailing P/E, 9.2x book, negative FCF; the stock pre-pays for FY28 delivery.
- Conviction call: **Unchanged-to-Increased** — operational thesis strengthened by the order book; position sizing constrained by valuation and working capital.
- Valuation snapshot: P/E = 79.0 (no 5Y listed history — listed Mar-2026) | EV/EBITDA = 33.4 (5Y avg N/A) | ROCE = 17.6% (FY24-26 band 18-19%).

Disclosures: This report is for informational purposes only and is not investment advice. All historical financial data sourced from Screener.in (consolidated, fetched 04-Jun-2026; prices 03-Jun-2026 close). Forward estimates marked (E) are analyst projections. The author is not a SEBI-registered investment adviser; investors should consult their financial adviser before acting.